Reading a Payslip: Gross vs Net Salary

What is a Payslip?

Explanation

A payslip is a paper or digital sheet that shows how much money someone earns and what is taken out.

Why It's Important

It helps people know their earnings and deductions.

Gross Salary – What Does It Mean?

Definition

Gross salary is the total money earned before anything is taken out. It's the full amount your employer promises to pay you!

Example

If you earn ₹30,000 a month, that is your gross salary – the big number before deductions!

Net Salary – What Does It Mean?

Definition

Net salary is the money you actually take home after all the deductions are removed from your gross salary.

Example

If ₹5,000 is taken out from ₹30,000, you get ₹25,000 to spend!

Why Do Adults Get Payslips?

Benefits

1. Helps keep track of money earned and deducted.
2. Important for planning how to spend money wisely.
3. Important for saving money for the future.

Common Deductions on a Payslip

Deductions

- Taxes – Money paid to the government for public services.
- Provident Fund (PF) – Money saved for your future retirement.
- Insurance – Money for health or life protection when needed.

Example of a Payslip

Gross Salary: ₹30,000
Your total earnings before deductions.

Deductions: ₹5,000
Tax, PF, and Insurance taken out.

Net Salary: ₹25,000
Money you take home!

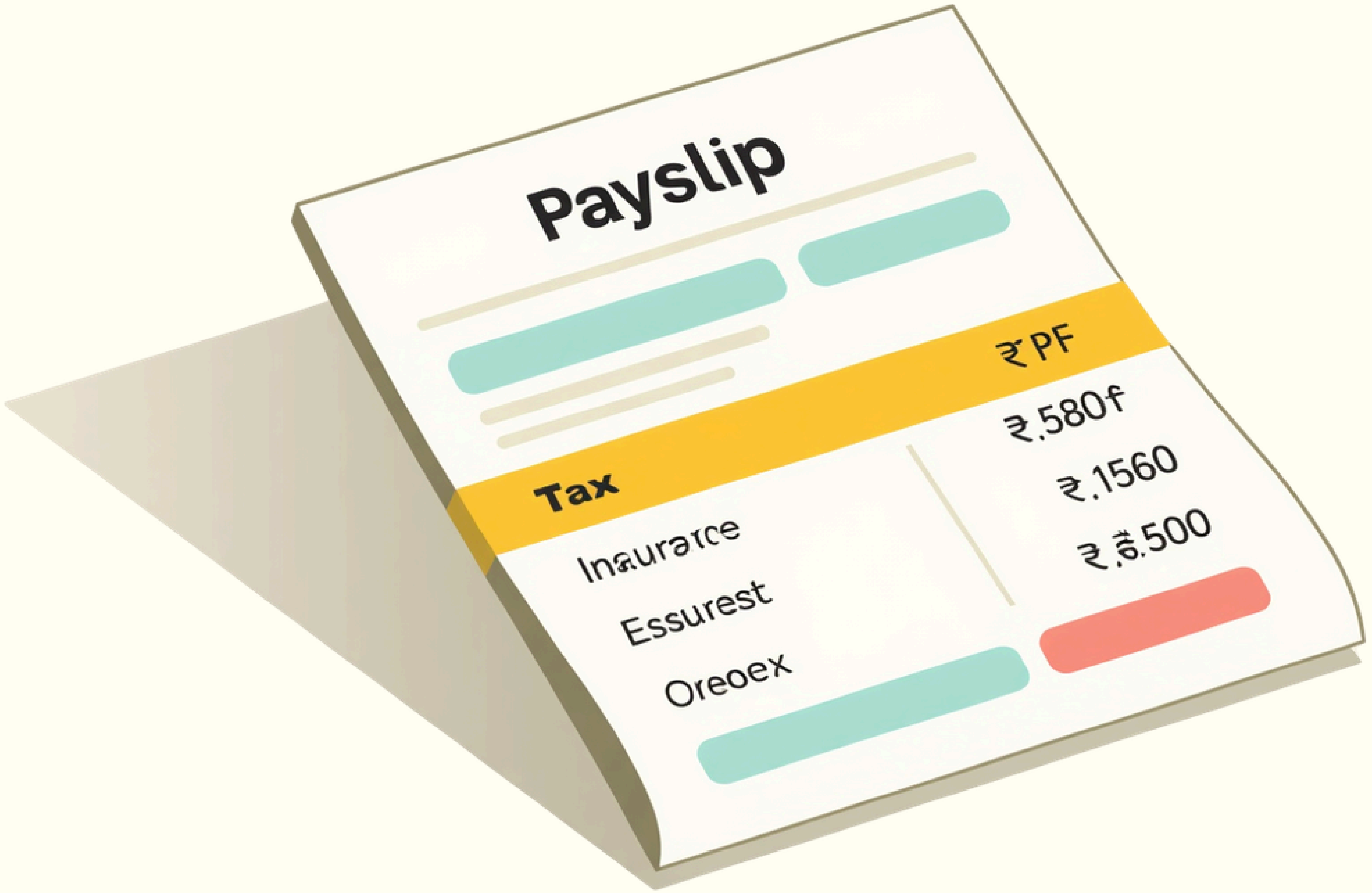
Reading the Gross Salary Section

What It Shows

The gross salary section shows your total earnings before any deductions are taken out. This is the full amount you earned!

Example Line

Basic Pay + Allowances = ₹30,000



Reading the Deductions Section

Deductions

- Tax ₹3,000 – Money paid to the government.
- PF ₹1,000 – Money saved for the future.
- Insurance ₹1,000 – Money for health protection.

Reading the Net Salary Section

What It Shows

The net salary line shows the final amount you take home after all deductions are subtracted from your gross salary.

Example Calculation

₹30,000 – ₹5,000 = ₹25,000 Net Salary

How to Calculate Net Salary

Simple Math Step-by-Step:

- Start with gross salary ₹30,000
- Subtract tax ₹3,000
- Subtract PF ₹1,000
- Subtract insurance ₹1,000 = ₹25,000

Real-Life Example: Meena's Payslip

Gross Salary

₹20,000 – Meena's total earnings before anything is taken out.

PF + Insurance

₹1,000 + ₹500 = ₹1,500 saved for future and health protection.

Tax

₹2,000 – Money paid to the government.

Net Salary

₹16,500 – Money Meena takes home to spend and save!

Why Understanding Payslips Matters

Important Life Skills:

- Know how much money you earn.
- Understand where money goes.
- Help adults plan and save for the future.
- Learn important life skills early.

Let's Quiz! What Did We Learn?

Quiz Time!

What is gross salary?
a) Total earned b) Money after deductions

What is net salary?
a) Total earned b) Take-home pay

Name one common deduction from a payslip.

Summary: Key Points to Remember

What We Learned:

- Payslip shows your earnings and deductions.
- Gross salary is total before deductions.

Remember This:

- Net salary is your take-home money.
- Knowing payslips helps manage money!

Thank You! Questions?

Thank you for learning with us! We hope you now understand how to read a payslip. Any questions or things you want to discuss?